

ORIGINAL

(S E R V E D)
(AUGUST 12, 1992)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

August 12, 1992

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

MOTION TO HAVE AN AFFIDAVIT MADE SUBJECT TO A PROTECTIVE ORDER;
AND MOTION FOR IN CAMERA REVIEW OF DOCUMENTS ASSERTEDLY
PROTECTED BY ATTORNEY-CLIENT AND WORK PRODUCT PRIVILEGES

Mr. McGonegle's Affidavit

Respondent Sea-Land Service, Inc. (Sea-Land), by motion dated May 28, 1992, seeks a ruling that Mr. McGonegle's affidavit dated February 25, 1992, be made subject to the protective order dated April 20, 1990. Complainants The Government of the Territory of Guam, et al. (GovGuam) object.

JAN 13 1992

The affidavit was attached to, and in support of, GovGuam's West Coast-Guam Summary Judgment motion dated February 27, 1992. The cover of the motion was stamped, "Confidential Business Information Subject to Protective Order." The individual pages of the motion were not so stamped. The affidavit was not marked with the "Confidential," etc., label.

Sea-Land argues that the affidavit contains sensitive, confidential and proprietary Sea-Land business information and should be made subject to the protective order. Under that order, confidential business information shall be used only for purposes of this proceeding and any judicial review of it. Sea-Land's concern is that GovGuam may release the business information to a third party or the public.

Mr. McGonegle was formerly in the employ of Sea-Land Motor Freight, Inc. (SLMF), as President and a Director. SLMF is a subsidiary of Sea-Land Service, Inc. Mr. McGonegle is now in the employ of GovGuam. After his position with Sea-Land was terminated, for compensation he signed a General Release on December 12, 1991. It contained a non-disclosure clause.

In the transmittal letter with the Motion for Summary Judgment, GovGuam stated that it did not consider the McGonegle affidavit subject to the protective order. Sea-Land acknowledges this but states that the full extent and the pertinent facts were aired for the first time at a deposition of Mr. McGonegle on May 12, 1992. Sea-Land urges that no justifiable reason can be presented for disseminating the affidavit outside the scope of this proceeding.

Sea-Land contends that the protective order assumes that the information being submitted belongs to the submitting party; that it does not contemplate that a party will submit "purloined" information obtained without the knowledge or consent of an opposing party; that the protective order places the burden of designating information as "confidential business information subject to the protective order" on the person submitting information.

GovGuam's position is that it did not make the affidavit subject to the protective order when it was filed with the motion for summary judgment and served on the parties in February of 1992 and made this clear in the transmittal letter; that Sea-Land did not object within a reasonable period of time and that its motion is not timely; that the affidavit contains information based on the affiant's personal, general knowledge and belief; that the affidavit was produced and submitted in February of 1992 after the affiant's termination by Sea-Land in December 1991; and that the affidavit has been made public--it was propounded by GovGuam's counsel to the Government of Guam after Sea-Land raised no objection to complainant's notice that confidential treatment was not intended. GovGuam denies that the affidavit contains "purloined" information and denies that it had any obligation to designate the affidavit as confidential when it did not believe it contained confidential information and so stated in the cover letter.

Sea-Land's motion dated May 28, 1992, to have an affidavit filed February 25, 1992, made subject to the protective order in this proceeding will be denied because making such a request 90 days after the document was served on the parties is not shown to be timely. Sea-Land has not otherwise established that Mr. McGonegle's affidavit should be made subject to the protective order and its motion to do so is denied.

Motion as to Other Documents

In the order of March 5, 1992, this Judge ordered that no questions concerning attorney-client privileged information be asked at the McGonegle deposition and that the deposition would remain open until the parties addressed the claims of privilege. These questions have been addressed in papers filed by GovGuam on June 12, by Sea-Land on July 16, and by Sea-Land on July 29. In the circumstances resolution of the questions presented is being expedited.

The documents in question have been in the possession of Mr. McGonegle. GovGuam wants access to them and Sea-Land claims privileges precluding their release. On July 31, 1992, copies were sent to the Office of Administrative Law Judges in a sealed envelope and they have remained in that condition unopened in the custody of the secretaries and will so remain until disposition of the motion.

Sea-Land deposed Mr. McGonegle on May 12, 1992. During that deposition Sea-Land requested the return to it from Mr. McGonegle of "proprietary and privileged attorney-client communications" obtained by virtue of his fiduciary position as an employee officer and/or director of SLMF and Sea-Land. When the parties learned of the documents during the deposition of Mr. McGonegle, they were produced by Mr. McGonegle and examined by Sea-Land's counsel who claimed that every document is confidential and that many are privileged.

The documents have been identified by Sea-Land as follows:

INDEX OF PRIVILEGED DOCUMENTS

Document
No.

Document
Description

Date

No. of
Pages

Basis for
Privilege

1	Handwritten notes of Mr. McGonegle describing a teleconference between Mr. McGonegle and Sea-Land attorneys regarding preparation for Mr. McGonegle's deposition in this proceeding.	10-18-91	7	Attorney-client privilege; opinion work product
2	Interoffice memorandum from Mr. McGonegle to C. Stone, Esq. attaching a draft application for motor carrier certificate.	6-16-89	8	Attorney-client privilege
3	Memorandum from C. Stone, Esq. to S. Lee and C. Lockett regarding SLMF (cc: J. Drobnick, Mr. McGonegle, S. Breidbart, Esq.). Telex is attached from Mr. McGonegle to C. Stone, Esq. (cc: Camicia).	6-14-89	2	Attorney-client privilege
4	Interoffice memorandum from C. Stone, Esq. to Mr. McGonegle concerning ICC regulations (cc: S. Breidbart, Esq.).	11-6-89	1	Attorney-client privilege
5	Interoffice memorandum from C. Stone, Esq. to Mr. McGonegle concerning ICC regulations (cc: S. Breidbart, Esq.).	4-26-91	3	Attorney-client privilege; opinion work product
6	Photocopy of electronic mail message from P. Klocek to J. Lau reflecting C. Stone, Esq.'s advice with respect to I.C.C. requirements (cc: Mr. McGonegle, Rothberg, Vakil, Vincent).	1-17-90	1	Attorney-client privilege; opinion work product

<u>Document No.</u>	<u>Document Description</u>	<u>Date</u>	<u>No. of Pages</u>	<u>Basis for Privilege</u>
7	Photocopy of electronic mail message from C. Stone, Esq. to Mr. McGonegle regarding registration requirements with the I.C.C. and the California Public Utilities Commission.	12-3-90	1	Attorney-client privilege; opinion work product
8	Interoffice memorandum from C. Stone, Esq. to Mr. McGonegle responding to his request regarding SLMF (cc: J. Clancey, H. Camicia, S. Breidbart, Esq.). Attached is a memorandum from C. Stone, Esq. to J. Clancey imparting similar information (cc: P. Klein, Esq. and S. Breidbart, Esq.).	8-22-89	2	Attorney-client privilege
9	Interoffice memorandum from C. Stone, Esq. to Mr. McGonegle regarding the corporate structure of SLMF. Attached is a memorandum from J. Drobnick to the Board of Directors.	5-19-89	2	Attorney-client privilege
10	Interoffice memorandum from Mr. McGonegle to C. Stone, Esq. attaching draft agreements between Sea-Land and SLMF (cc: H. Camicia).	5-8-89	9	Attorney-client privilege
11	Interoffice memorandum from C. Stone, Esq. to J. McGonegle concerning ICC regulations. Attached are draft agreements for Mr. McGonegle's review and photocopied regulations (cc: S. Breidbart, Esq., J. Ridlon, Esq., J. Clancey, H. Camicia, and W. Kenwell).	5-4-89	8	Attorney-client privilege

<u>Document No.</u>	<u>Document Description</u>	<u>Date</u>	<u>No. of Pages</u>	<u>Basis for Privilege</u>
12	Interoffice memorandum from C. Stone, Esq. to Mr. McGonegle regarding the corporate structure of SLMF.	10-18-91	1	Attorney-client privilege; work product
13	Interoffice memorandum from C. Stone, Esq. to A. Nikkhoo and copied to Mr. McGonegle attaching draft provisions of corporate agreements for their review.	12-20-90	18	Attorney-client privilege; opinion work product
14	Typewritten version of the handwritten notes described above as Document No. 1.	10-18-92	3	Attorney-client privilege; opinion work product
15	Telecopier transmittal cover sheet from C. Stone, Esq. to J. McGonegle attaching draft ICC application and supplemental statement for Mr. McGonegle's review.	6-16-89	15	Attorney-client privilege

GovGuam requests an *in camera* review of the documents to determine which documents are privileged and which should be made available immediately to GovGuam by Mr. McGonegle.

The documents at issue fall into two basic categories. First, the majority assertedly consists of correspondence between Sea-Land's attorneys and company employees concerning the interpretation of regulations as they applied to the operation of SLMF. These documents include Documents No. 2-13 and 15. The other two documents, Documents No. 1 and 14, are purported to be notes taken by Mr. McGonegle while he was being prepared by Sea-Land's attorneys for his deposition in this litigation. Document No. 1 allegedly consists of handwritten notes made by Mr. McGonegle at that session. It was produced for the first time at Mr. McGonegle's deposition. Document No. 14, which is purported to be a typewritten version of these notes, was not produced at the deposition, rather, it was sent by Mr. McGonegle to Sea-Land several weeks later.

The documents relate to the operations of Sea-Land and SLMF. Mr. McGonegle obtained them during his employment with Sea-Land and had his secretary send them to him to prepare for what he thought was his impending deposition. Sea-Land notified him that his position was being terminated and he chose to retain the documents believing that if they were returned to Sea-Land they might disappear.

Sea-Land asserts the attorney-client privilege in regard to corporate documents involving Ms. Claudia Stone acting as counsel giving legal advice. She is also corporate secretary for SLMF and Sea-Land has provided documents where that was her role, not that of legal counsel.

GovGuam seeks access to all documents relating to meetings and communications in which Ms. Stone acted in her capacity as corporate secretary.

GovGuam also relies on cases holding that attorney participation in furtherance of a fraud is not protected by the privilege. GovGuam contends that, in setting up a sham corporation, Sea-Land and its attorneys fraudulently sought to recharacterize its operations to give the appearance that they were within the jurisdiction of the Interstate Commerce Commission (ICC) without in fact altering its operations in any meaningful way and avoid revealing the exorbitant profits it was reaping at the expense of Guam and evading FMC regulation.

GovGuam thus contends that the attorney-client privilege should not attach to any correspondence or communication between Ms. Stone and other employees, officers, or directors of SLMF or to any correspondence mentioning advice given by Ms. Stone relating to the establishment of SLMF or the operations of SLMF or Sea-Land.

GovGuam argues that if Ms. Stone's advice and preparation of Mr. McGonegle for his deposition was not based on confidential information provided by any Sea-Land employee, but stem from her personal knowledge, then Mr. McGonegle's notes of Ms. Stone's advice are not privileged.

GovGuam urges that only an *in camera* inspection of the documents can answer these questions.

Sea-Land responds that it is not improper much less criminal with a company organizing its services so that it falls within the jurisdiction of one agency instead of another; that the legitimate avoidance of a certain regulatory scheme is common, proper, and beyond

reproach; that, at most, complainants allege that the operations of SLMF did not satisfy all the necessary requirements for ICC jurisdiction which, even if proven, would not be a fraud and that all the documents are protected by either the attorney-client, work product or opinion work product privileges. It has filed a detailed paper by Special Counsel.

The attorney-client privilege applies if:

(1) the asserted holder of the privilege is or sought to become a client; (2) the person to whom the communication was made (a) is a member of the bar of a court, or his subordinate and (b) in connection with this communication is acting as a lawyer; (3) the communication relates to a fact of which the attorney is informed (a) by his client (b) without the presence of strangers (c) for the purpose of securing either (i) an opinion of law (ii) legal services or (iii) assistance in some legal proceeding and not (d) for the purpose of committing a crime or tort; and (4) the privilege has been (a) claimed and (b) not waived by the client.

United States v. United Shoe Machinery Corp., 89 F.Supp. 357, 358-59 (D. Mass. 1950).

The work product doctrine protects documents prepared by or for a party in anticipation of litigation. Opinion work product--documents that "reveal an attorney's mental impressions and opinions"--benefit from nearly absolute immunity and are discoverable, if at all, only in the most rare and extraordinary circumstances

In regard to the documents involving Ms. Claudia Stone, no privilege attaches to documents she signed in a non-legal role as corporate secretary but the privilege attaches to documents which memorialize communications regarding legal advice and involve Ms. Stone acting as a lawyer. But attorney-client communications which relate to business, rather than legal, advice are not privileged. Sea-Land contends that it has furnished all the documents in the "non-legal" category; that all the documents at issue here are in the

protected category since Ms. Stone was acting as a lawyer; that many of the documents construe ICC regulations and impart advice concerning compliance with those regulations; and that others communicate information or advice concerning legal standards applicable to the formation and operation of SLMF. Bearing in mind the extensive history of this matter as extensively delineated in the voluminous papers filed, it is clear that an *in camera* review of the documents is mandated to determine which, if any, documents are covered by a privilege.

In regard to GovGuam's contention that no communications from Sea-Land's counsel should be protected because of the crime-fraud exception both parties rely on *In Re Grand Jury Subpoena Duces Tecum*, 731 F.2d 1032 (2d Cir. 1984). To apply the crime-fraud exception the burden is on the party seeking to vitiate the privilege, here GovGuam, to demonstrate: (1) that there is a reasonable basis for believing that the other party's objective was fraudulent, and (2) that the communications furthered that illicit activity.

GovGuam asserts that Ms. Stone, and possibly other Sea-Land counsel, have played roles within Sea-Land with regard to the organization of SLMF that appear to fall within the crime-fraud exception; that instead of rendering legal advice to the company she played a central role in a scheme to evade FMC regulation, through the creation of a shell or sham corporation. As noted, Sea-Land's position, extensively argued, is that there is no evidence of a crime or fraud but rather, at most, a failure to meet all ICC regulations, a failure to avoid not evade governmental regulations.

GovGuam responds that creating a sham corporation, which exists only on paper, which it asserts is what Sea-Land did with SLMF, is not legal and that Mr. McGonegle's affidavit provides a *prima facie* case of fraud.

GovGuam is not required to prove conclusively the fraudulent intent of Sea-Land's objective in establishing SLMF. GovGuam's burden is to show a reasonable basis for that belief and it proffers, *inter alia*, Mr. McGonegle's 13-page affidavit dated February 25, 1992, which, upon thorough examination, confirms GovGuam's belief. Of course, the affiant has not been subjected to the rigors of cross-examination. This is a discovery matter. The evidentiary stage has not been reached. GovGuam's contentions have not been tested. However, there is a reasonable basis to doubt that Sea-Land's objective in establishing SLMF was to qualify that entity as a proper independent motor carrier subject to the jurisdiction of the Interstate Commerce Commission. While avoidance of FMC jurisdiction by taking all appropriate steps would be proper, there is reason to believe, if proven, that Sea-Land has not restructured its intermodal operations to pass from the jurisdiction of one regulatory agency to another but that it has established a sham or shell corporation to evade not avoid FMC regulation. Enough has been presented to comply with the first requirement of the crime-fraud exception.

The second part of that test requires a reasonable basis for believing that the documents in question--the communications--furthered the illicit activity. Sea-Land argues that GovGuam cannot credibly argue that any of the disputed documents furthered any alleged fraud since many of them were created after the formation of SLMF and after Sea-Land withdrew its FMC tariffs and filed tariffs with the ICC. However, as GovGuam points

out, legal advice sought in furtherance of an ongoing "fraud" is unprivileged. 731 F.2d at 1041. The alleged fraud has been ongoing since Sea-Land has continued to operate SLMF and allegedly has changed its operations several times since the commencement of this proceeding.

Next, Sea-Land contends that the documents cannot be found in furtherance of any alleged fraud since most of them contain the opinions of counsel as to the manner in which to legally operate a common carrier. Obviously this is a conclusion of Sea-Land's Special Counsel and would need to be verified by an *in camera* review.

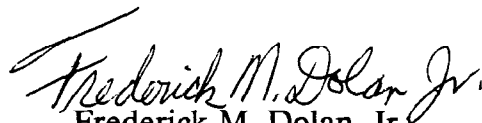
As to the handwritten notes of Mr. McGonegle and the subsequently prepared typed version in preparation for a deposition years after the alleged fraud and the filing of this action, they cannot be found in furtherance of the fraud, according to Sea-Land. It also contends that such notes are a privileged attorney-client communication which also contains opinion work product of the most protected nature. However, it is evident given the extensive involvement of Mr. McGonegle that a substantial need exists for the information which the notes contain which cannot be found elsewhere. GovGuam cannot question Mr. McGonegle about the communications and there is no other apparent source for which GovGuam can determine what took place in the conversations which appear to have prompted Mr. McGonegle to retain the documents at issue in fear they would be destroyed.

In the circumstances after thoroughly considering all the material presented it is clear that GovGuam has sustained its burden of proof that the crime-fraud exception to the attorney-client and work product and opinion work product privileges applies to the extent that an *in camera* review of the documents in question is appropriate. It should be clearly

understood that if any documents are ultimately furnished to GovGuam they would be subject to the strictures of the protective order.

Sea-Land suggests that the *in camera* review be denied as a matter of discretion because the person conducting the *in camera* review will be the ultimate fact finder and it will be impossible to disregard whatever information is found to be privileged. This conclusion is speculative and baseless. If such information never finds its way into the record it is not shown in what manner it could be used in the preparation of a decision or in any other manner to the detriment of Sea-Land. GovGuam has presented sufficient grounds warranting the *in camera* review. Sea-Land's request is denied. After such *in camera* review, which will not commence for five days, a decision will be made as to the future procedure such as who would furnish the documents, if any, to GovGuam, and whether affidavits are necessary to explain the differences between Mr. McGonegle's notes and the typewritten version, and any other matters.

As noted, the documents in question have been and are sealed and under the secretaries' custody. This agency is in the process of relocating to 800 North Capitol Street, N.W., Washington, D.C., 20573. After that has been accomplished, the *in camera* review will take place and a decision reached on which, if any, of the issue documents may be released to complainants. That decision will also announce the further procedure in regard to the documents in question.


Frederick M. Dolan, Jr.
Administrative Law Judge